

LoanServe — Eligibility Norms

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Scope and Application

These norms decide who may borrow from LoanServe and how much, before any product specific term is applied. They apply to every retail loan product and to every applicant, co-applicant and guarantor. Where a product's terms are stricter than these norms, the stricter test governs. Meeting these norms does not by itself create a right to a sanction.

Age Criteria

The minimum age of an applicant at the time of application is 21 years. The maximum age of an applicant at the time of application is 60 years. For home loans the borrower's age at loan maturity must not exceed 70 years.

Income and Obligation Norms

The total monthly instalment obligation must not exceed 50 percent of the applicant's net monthly income. For unsecured personal loans the debt to income ratio must not exceed 0.45. For secured loans the loan to value ratio must not exceed 0.75 of the assessed collateral value. A minimum net monthly income of Rs 18,000 is required for any retail loan product.

Employment Norms

Salaried applicants must have completed at least six months with their current employer. Self employed applicants must produce two years of filed income tax returns.

Assessing Income

An applicant who cannot produce a salary slip is assessed on six months of bank statements showing salary credits instead, and a self employed applicant is assessed on filed returns rather than on any salary document. Salaried income is taken from the three most recent salary credits appearing in the bank statement, and not from the salary slip alone. Variable pay is counted at fifty percent of the average of the preceding two financial years. Rental income is counted at seventy percent of the amount in a registered lease. Income from a business fewer than twenty four months old is not counted at all.

Existing Obligations

Every instalment reported in the bureau record is counted as an obligation, whether or not the applicant declares it. A credit card outstanding is counted at five percent of the balance as a monthly obligation. An obligation with fewer than six instalments remaining may be excluded where the applicant funds the closure before disbursal. A loan on which the applicant is only a guarantor is counted at fifty percent of the instalment.

Credit History

A bureau score below 600 is declined without further assessment. A settlement or a write-off reported in the preceding thirty six months is declined. More than three instalments overdue by thirty days in the preceding twelve months is declined. An applicant with no bureau history at all is assessed on banking conduct and is capped at the entry level of the product.

Definitions

'Net monthly income' means income after statutory deductions, taken from the three most recent salary credits. 'Debt to income ratio' means total monthly instalment obligations divided by net monthly income.

Worked Example

An applicant whose net monthly income is Rs 60,000 may carry instalments totalling up to Rs 30,000 a month across every lender.

Exceptions and Discretion

The instalment to income ceiling may be relaxed to fifty five percent where the net monthly income exceeds Rs 2,00,000. The minimum employment period may be relaxed for an applicant moving between employers within the same industry without a break. The minimum income requirement is not relaxed for any product. An exception is valid only for the application on which it was granted.

Records and Evidence

Bank statements, income documents and the bureau report are retained for eight years from closure or from rejection. The reason for a rejection is recorded against the application and is communicated to the applicant in writing. An applicant may ask for the bureau report used in their assessment and it is provided free of charge once in a financial year.

Related Policies

The Eligibility Norms should be read with: Co-Applicant and Guarantor Rules.

Regulatory and Compliance Notes

These norms follow the directions on responsible lending and on the assessment of repayment capacity. An application is decided on the applicant's ability to repay and never on the value of the security alone. The reason for a rejection is recorded so that it can be explained to the applicant and to a reviewer.

Review and Governance

Owned by the Credit Policy team and placed before the Credit Committee once a year.